

Calculate your Net Worth

What is a net worth?

Assets minus liabilities give you your financial net worth.

Role of Net Worth in Financial Freedom?

Your networth determines the starting point of your journey. This is the actual nest egg that you possess today, which you need to grow big enough to achieve financial freedom.

How often you must update your net worth?

Net worth changes with time, as you save more, invest more or spend more. It thus becomes important to monitor your net worth at regular defined intervals. It is extremely important that you update your net worth since it directly influences your plan for financial freedom.

I still continue to do these updates to my net worth once a month. But at the very least, it should be done once a quarter. If you are on a fast track to financial freedom, I recommend updating this once a month. After you have done the hard work of creating your assets and liabilities table once, and calculated the net worth from the same, it does not take lot of time to do regular updates every month.

It is very interesting, as well as important, to keep a month on month chart of your net worth and see if you are on the right track and your net worth is continuously going up.

At this stage, we know the starting point (Step 2 – Net Worth). We also know the speed at which we can move in this journey (Step 1 – Saving Potential). This is like knowing that your starting point is Delhi and you can drive at an average speed of 70 Kmph. But the critical piece that is missing is your destination. Where are you headed? Chandigarh? Jaipur? Vadodara? Varanasi? Or Mumbai? That will be your end point, which is calculated in Step 3 below.